

CHAPTER EIGHT

8. Problems and Remedial Measures of PEs

- **Empirical studies on PEs in the world showed failure cases in their economic performances.**
- **This particularly holds true for almost all African countries.**
- **African PEs are generally known for making persistent losses while consuming scarce financial resources.**
- **The major factors contributing to their poor records were mentioned in Chapter Seven (Your reading Assignment).**

- **As much as their problems are known, gov'ts have been forced to take various types of reforms and remedial measures starting from the second half of the 1980s.**
- **However, the reform drives were by-and-large externally imposed than self-induced.**
- **In this chapter, we will ponder on the main organizational and managerial problems that explain the daunting performance records of PEs and the different remedial actions taken by gov'ts.**

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8.1 Major Problems

- **Besides inferior product quality and lack of well-designed marketing strategy that makes them unable to compete in the international market, the following are worth-noting problems of PEs:**

(i) Lack of Initiative & Operational Autonomy

- **Initiative and organizational autonomy are important factors for effective operation of any business org, (private and public alike)**
- **Almost all PEs in developing countries are characterized by the lack of managerial autonomy and the resultant initiative.**

Factors which set limits to the initiative of employees and managers include:

- **Gov't's excessive intervention,**
- **Uncertainty of tenure and lack of confidence of managers,**
- **Absence of recognition and encouragement to managers and employees in proportion to their achievements, etc.**
- **Low importance or priority given to scientific research and development.**

(ii) Poor Labour Productivity:

- **It has been argued that labor productivity is generally poor in the public sector.**
- **PEs are not in a position to provide fringe benefits, fat salary and benefit packages, welfare amenities that are provided by their private counterparts.**
- **As a result, employees' morale is low and therefore may not fully concentrate on their jobs.**
- **They may also spend their time and energy in moonlighting (doing two jobs)**

(iii) Overstaffing:

- **This is especially acute in Sub-Sahara Africa. Almost every country in the region, including Ethiopia, incur huge cost due to overstaffing in the public sector, mainly in PEs .**
- **PEs in the region are overstaffed with the support staff (i.e. administrative and clerical workers).**
- **By the time SAP was initiated, PEs in Ethiopia have been reported for employing over 200,000 people.**
- **Yet, almost half of the number were redundant/surplus and were considered as ghost workers, who were in excess of what the jobs required.**

The main reasons for overstaffing, inter alia, include:

- **Lack of scientific manpower planning practices to match the job requirements,**
- **Failure to lay down appropriate work standards and emphasis on social responsibilities,**
- **Wrong motives of gov'ts to use PEs as a substitute for social security system,**
- **Unlawful practices of managers to hire people on the bases of kinship/ethnicity, blood relation, patronage, friendship, party membership, etc.**

(iv) Lack of Professional Personnel and Problems of Training:

- **Lack of professional personnel generally portrays the lack of institutional capacity of PEs.**
- **The most striking issue in addition to overstaffing is the quality and composition of the workforce.**
- **Trained manpower is a critical factor for economic development.**
- **Yet, acquiring skilled workers and professional managers has been the biggest challenge for PEs in developing countries, especially in SSA**

Absence of qualified and experienced managers in the region is often exacerbated by:

- **Appointment of uneducated and inexperienced managers due to hastily implemented localization or Africanization manpower policy.**
- **Unethical practices (favoritism or nepotism) in the selection and appointment of staffs,**
- **Lack of institutes that provide formal training in important disciplines such as in business administration, dev't administration, accounting, marketing, corporate finance and economics areas,**

(v) Low Morale of Managers and Employees:

- **Low morale of managers and employees is another critical problem of PEs.**
- **One of the explanations for the low morale of managers is absence of financial interest in PEs they manage.**
- **Unlike the case in private enterprises, managers of PEs are not allowed to have stock shares in the enterprise.**
- **Besides, the reward systems are not commensurate with the level of their performances.**

- **In other words, PEs do not provide salary and benefit packages comparable to the private sector.**
- **Therefore, they might not make full effort to be innovative thereby generate the maximum possible financial return.**

(Vi) Chronic Brain Drain of the Scarce Talent:

- **Many studies, for example, revealed that chronic exodus of scarce talent posed huge challenge for developing countries.**

- **Migration of qualified personnel to Europe and N. America has been more acute and alarming in the public sector than the private sector.**
- **Moreover, low incentives, dissatisfaction with the political and governance systems in their home countries, lack of opportunity for further education and training, etc. contribute to the brain-drain of the best talent.**

(Vii) Bad Labor Union Tradition:

- **In SSA countries, labor union leaders have little or no formal training in their vocation.**
- **They have no clear idea about the privileges and obligations of organized labor.**
- **The emphasis of trade unions in the region has been on what employees can get from the enterprise and little on what employees can do to their organizations.**
- **Such attitudes affect industrial peace and contribute to low productivity of their members.**

(Viii) Weak Supervisory Capacity:

- **This has to do with the issue of boards. It is a common experience for SSA to appoint board members based on political criteria.**
- **The implication is that politically appointed board members could feel either too much freedom or suffer from too much restriction to take direct decisions on important matters.**
- **Board members are often antagonized by the internal mgmt. due to lack of knowledge of entrepreneurial skills and leadership capacity.**

- **As a result, lack of knowledge of board members makes them dependent on the guidance of the internal mgmt.**
- **This weakness of board members could be exploited by the internal management to develop expertise/elite capture and to advance personal interest.**

On the other extreme, internal managers may be attacked by boards due to inferiority complex, suspicion against insiders as abusers of public interest, etc.

8.2 Remedial Measures

- **Considering the problems surrounding PEs, gov'ts have been taking various types of reform measures to correct the situations and make them start over afresh, or to abandon them forever.**
- **The modes of reform measures and extent of effectiveness could vary for several reasons.**
- **The following are some of the most common types of reforms (remedial measures) on the PE sector.**

8.2.1 Organization and Management Reform

- **No country in the world has to-date invented a perfect mgmt. system of PEs.**
- **Besides, the multitude of differences among countries make the blind replications of the mgmt. styles totally fruitless.**
- **Therefore, any attempt to solve mgmt. related problems of PEs should necessarily be compatible to the social, cultural and economic characteristics of the country concerned.**
- **Hence, the following are suggested as better aspects of “organization and mgmt. reforms”.**

(a) Adopt radical change in the mgmt. approach of PEs, which encompasses:

- **Efficiency-oriented approach,**
- **Market-oriented approach, and**
- **Future-oriented approach**

(b) Establish clear authority demarcation among the three main actors in the mgmt. of PEs, namely: government (supervisory agency), the board, and the chief executive or internal mgmt.

(c) Maintain effective accountability of managers for their performances by adopting performance contracting system.

(d) Link the wage rates of employees with actual productivity rates.

(e) Institutionalizing training programs to improve managerial competence; i.e.

- Managers should be given up-to-date training periodically to align their knowledge and skills with new local and global changes and dev'ts.**
- Training should be institutionalized by creating HRD and career-planning unit in PEs.**

(f) Encourage the mobility or repositioning of managerial personnel within the PE sector.

- **As part of the O&M reform, participation of the private sector in joint ownership and mgmt. of PEs through leasing, concession, and mgmt. contract has been also encouraged.**
- **In general, whenever PEs are found incapable to respond to public demands and to the changing business environment, reforms are suggested to take place in their O&M styles.**
- **But the reform should be carried out based on scientific analysis of problems and alternative solution scenarios.**

- **Harsh economic realities and the global public sector reform agenda have convinced governments to abandon the old-days approach of subsidizing inefficient PEs.**
- **Proponents of the O&M reform concept also opened the floodgate to other policy remedies known as “privatization” and “commercialization” of PEs.**

8.2.2 Privatization (Ownership Reform)

- **An earlier definition of privatization by Ducker (1968) implied “reconstitution of the affected (weak) org’s from the previous fund dependence to fund self-sufficiency”.**
- **Hanke (1987) shortly defined privatization as “...the transfer of assets and service functions from the public to the private operators”.**
- **Meier (1995) defined privatization in a little broader context as “the sale of gov’t owned corporations to private investors and contracting out of former gov’t functions to private agents”.**

- **Privatization is known by different names across the world because it is deemed politically too delicate or controversial.**
- **Some writers use the term privatization with equivalent meaning to denationalization and commercialization.**
- **Commercialization denotes the application of private sector mgmt. philosophy to public sector organizations without necessarily involving the transfer of ownership.**
- **The transfer of public to private ownership may take both direct and indirect forms.**

- **“Direct transfer” refers to a complete transfer of public ownership (both the assets and the mgmt.) to the private sector.**
- **“Indirect transfer” on the other hand is privatization of the mgmt. aspect only, most commonly known as “management contracting” by retaining the assets under public ownership.**
- **"Management contracting" is often made mainly with two objectives: to relieve the administrative burdens of the gov't, and to ensure administrative efficiency.**

- **The privatization drive began in the mid-1980s at a massive scale.**
- **Margaret Thatcher was the pioneer of the privatization measure.**
- **This was the period of the widely adopted SAP all over the world in response to the needs for remodeling the public sector at large and reducing the size of gov't.**
- **The privatization drive has also been supported by the NPM advocates and western governments who say, "gov't has no business in business".**

- **Hilary Clinton's speech in her visit to Nigeria supports the idea of the NPM movement.**

“... Africa needs small but strong gov't, not large but unproductive gov't”

- **The widely articulated justifications for the privatization movement were the perception that PEs have resulted in wastage of resources, lethargy, inefficiency, misappropriation, and poor quality of products compared to the private sector.**
- **Thus, privatization was launched as a global agenda to escape from the multitudes of problems faced by PEs.**

- **The question however is that “is privatization the necessary condition or sufficient condition to eliminate bureaucratic controls and enhance efficiency?”**
- **Definitely, the answer is that privatization is not a sufficient condition to overcome bureaucratic bottlenecks; rather is a necessary condition.**
- **It is a means to an end, not an end by itself.**
- **This suggests that, in order to achieve efficiency, privatization requires careful implementation, active encouragement, and strong gov’t support.**

- **The support could be through formulating integrated and enabling policies that systematically address the range of constraints affecting privatized enterprises.**
- **Another pragmatic question we can ask is that “are there contradictions between the social welfare goals of the gov’t and the implementation of privatization?”**

There are sensible arguments that deny the positive relationship between the social welfare goals of the gov't and the privatization act. The arguments include:

- (1) As frequently discussed, PEs are established with mixed objectives (commercial and non-commercial objectives).**
- While the commercial objective is clear and simple; i.e. profitmaking, the non-commercial objectives are diverse and complex.**

- **The non-commercial objectives include those we already discussed; namely:**
- **Income distribution,**
- **Subsidization of particular regions or segment of society,**
- **Protection of the disadvantaged groups,**
- **Creation of employment opportunities,**
- **Correction of market failures and imperfections (market stabilization and inflationary control), and**
- **Garnering public support (e.g. increasing the probability that the party in power will be reelected).**

- **All those welfare, equity as well as political motives will not be achieved once PEs are sold out or transferred to the private hands.**
- **This in turn implies that we cannot talk about the fulfillment of the objectives of PEs in their “public dimension” if privatized.**

(2) Privatization in developing countries has been implemented under forced conditions or external pressures by international donor agencies as part of their support requirements to implement SAP and economic reform programs.

- **For this reason, gov'ts may still be reluctant to let privatized enterprises operate with complete autonomy; to liberate them from any kind of control.**
- **This entails that gov'ts tend to privatize PEs halfheartedly and without full commitment.**
- **They instead do so only to meet the preconditions imposed by donors.**
- **Since the core motives behind selling PEs are to ensure economic efficiency and productivity, then the gov't ends up being growth-oriented rather than development-oriented, unsympathetic to citizens' well-being.**

Arguments in Support

- 1. Reduction in public sector spending (in the form of avoiding subsidy, loan arrears or defaults, and unpaid taxes).**
- 2. Promotion of macro-economic efficiency (through competition, innovation and quality mgmt. methods).**
- 3. Promotion of consumer satisfaction (value for money and freedom of choice of purchases).**
- 4. Encouraging Natural pricing regime (application of demand and supply rules)**

Arguments Against

- 1. Rapid price hike for goods and services (consumers will pay full prices of goods and services).**
- 2. Break up of public sector networking and cross subsidization.**
- 3. The emergence of moneybags (economically powerful persons) who cannot be controlled by gov't.**
- 4. Reduced job opportunities.**

8.2.3 Forms of Privatization

The sale of PEs is only one form of privatization. In broad sense, privatization includes different forms in addition to transferring ownership rights, namely:

- 1. Transfer of the mgmt. of PEs to private managers by “management contracting”,**
- 2. Contracting out of services previously provided by PEs (service contracting).**
- 3. Transfer of operational activities to private entrepreneurs by lease or concession contracts.**
- 4. Participation of private sector in operation, mgmt. and financing of the activities of PEs through joint ventures.**

There are three major strategies or forms applied for privatizing PEs. These include:

- 1. Privatization by Divestment**
- 2. Privatization by Delegation, and**
- 3. Privatization by Displacement**

Each of these strategies also encompass sub-strategies and specific implementation modalities.

Strategies of Privatization	Modalities
1. Privatization by Divestment	
1.1 Privatization by Sale	(A) Private placement (B) Public sale (C) Management buyout (D) Employee buyout (E) Users or Customers buyout
1.2 Privatization by Liquidation	Outright sale of assets to the public when there is no buyer for the weak public enterprise
1.3 Privatization by Donation	(A) Donation to employees (B) Donation to users or customers (C) Donation to the public
2. Privatization by Delegation	A) Contract B) Franchise C) Grant D) Voucher
3. Privatization by Displacement	(A) Withdrawal (B) Deregulation

1. Privatization by Divestment

- **Divestment means shedding off the enterprise's asset; take away possessions, function, power or title.**
- **The enterprise is either sold or given away as an ongoing business; or it may be liquidated (i.e. closed down and the assets sold out).**
- **The term 'denationalization' is also used in many countries, to mean divestment**

Privatization by Divestment has three sub-strategies, which include:

1.1 Privatization by Sale: which can be carried out in five ways or modalities:

- (i) Private Placement:** Selling the enterprise (or its assets) to a private buyer at a negotiated price. This modality was employed in the Ethiopian Privatization Program.
- (ii) Public Sale:** Selling the PE to the public by issuing and selling shares.
- (iii) Management buyout:** Selling the enterprise to managers.

(iv) Employee buyout: Selling the enterprise to its former employees

(v) User/Customer buyout: Selling the enterprise (or its assets) to its former customers. This can be done in areas like state owned land, rural electricity, water, transport, etc. enterprises to local users' cooperatives.

Privatization by Divestment can be made in complete or partial forms.

- **In the case of complete privatization, the PE is totally disposed, both in terms of ownership and mgmt.**
- **In the case of partial privatization, the disposal can be carried out in stages where the gov't sells only a portion of its holdings at a time.**

1.2 Privatization by Liquidation

- **Divestment can be carried out by liquidating a poorly performing enterprise;**
- **That is selling its assets, if there are no interested buyers and if the prospects are dim for a turnaround to profit making.**

1.3 Privatization by Donation

In this model, the PE can be given away to employees, customers, or organized groups

2. Privatization by Delegation

- **The second major privatization strategy is delegation, where the gov't delegates the private sector to carry out part or all of its previous functions.**
- **However, gov't retains the responsibility to oversee results; hence, it has an ongoing stake and can be retaken.**
- **Contract, franchise, grant, voucher, are the specific implementation modalities of privatization by delegation.**

(A) Delegation by Contract

- **The responsibility of operating, financing and managing PEs may be entrusted either to a public manager or a private body through different contractual arrangements.**
- **Activities to be carried out could be mgmt., operation, regulation, production, and financing.**
- **Accordingly, we do have different forms of contractual mechanisms, namely: Management Contract, Regulatory Contract, Service Contract, and Lease and Concession.**

(B) Delegation by Franchise

- **Under franchise, gov't awards exclusive right to a private organ to sell a product or service to the public.**
- **The private firm pays the gov't the agreed rate of fee, usually in an annual scheme.**
- **Franchise is the use a public domain arrangement in carrying out commercial ventures, either in concession or lease.**
- **In this model, the gov't grants use rights to a concessionaire, but retains ultimate ownership of either the physical assets or the supply right.**

- **This means, the private operator manages the public facility, operates as its own commercial risk, and bears investment obligations to build a new facility, or to expand, or rehabilitate an existing one.**
- **The second form is lease agreement in which tangible gov't-owned property is used by a private renter to conduct a commercial venture.**
- **Leasing involves a private contractor paying the gov't for exclusive right to operate facilities for a specified period, and bearing full commercial risks**

(C) Delegation by Grant

- **Grant can be awarded by delegation. In this form of delegation, gov't arranges for a private entity to do the work and provides a subsidy.**
- **Customarily, grants are given for mass transit, low-income housing, maritime and shipping, agriculture and research activities, and so forth.**

(D) Delegation by Voucher

- **Another model of delegation is issuing voucher to eligible recipients of formerly state run services.**
- **Vouchers are used for food, housing, education, health, daycare and transportation.**

- **Recipients use the vouchers to purchase these services in the marketplace.**
- **However, they have to pay the difference if their purchase exceeds the value of the vouchers.**
- **If one compares grants with vouchers, grants subsidize producers, whereas vouchers subsidize eligible consumers.**

3. Privatization by Displacement

Displacement is the third major form of privatization. As opposed to the first two methods, displacement is a passive process where gov't is replaced by the private sector.

(A) Displacement by Withdrawal

- **Government can deliberately pull out or withdraw its activities simply by shutting down a failing PE.**
- **Gov't may accommodate private sector expansion into that field by withdrawing itself.**

(B) Displacement by Deregulation

- **This modality is sometimes referred to de-monopolization.**
- **It enables the private sector to engage in activities previously reserved to the PE sector.**
- **Examples include: postal services, telecom services, agricultural and marketing boards, etc.**